		Defendants state that they are not relying paragraph 13 in moving for attorney fees. The Court notes that Paragraph 13 supports a finding consistent with that of paragraph 16. Paragraph 13 states that "[i]n the event either party breaches any obligation under this Agreement the non-breaching party shall be entitled to all costs and expenses incurred including reasonable attorney fees as a result of the breach." Again, the court found in its ruling on the demurrer, that Plaintiff breached its obligation in paragraph 16 when it filed the Complaint before participating in mediation. Notably, Plaintiff spends much of the supplemental opposition discussing and distinguishing *Haidet v. Del Mar Woods Homeowners Association* (2024) 106 Cal.App.5th 530. As seen in the Court's tentative in its 03/06/2025 Minute Order, the Court did not rely on *Haidet v. Del Mar Woods Homeowners Association* (2024) 106 Cal.App.5th 530 in reaching its conclusion in the 03/06/2025 tentative. For these reasons, the Court is not persuaded by the supplemental briefing to change the tentative ruling in its 03/06/2025 Minute Order. The Court ADOPTS the tentative ruling in its 03/06/2025 Minute Order. (See ROA 262.) *Moving parties to give notice*.
108	IDYLLWILLOW LP vs. Berkadia Real Estate Advisors Inc. 20-01146587	<u>MOTION FOR ATTORNEY'S FEES</u> Plaintiff Idyllwillow LP ("Plaintiff") moves for an order granting it attorney fees incurred in proving that Defendants Berkadia Real Estate Advisors Inc. and Joe Leon ("Defendants") were Plaintiff's broker and agent pursuant to Code of Civil Procedure section 2033.420. "If a party fails to admit the genuineness of any document or the truth of any matter when requested to do so under this chapter, and if the party requesting that admission thereafter proves the genuineness of that document or the truth of that matter, the party requesting the admission may move the court for an order requiring the party to whom the request was directed to pay the reasonable expenses incurred in making that proof, including reasonable attorney's fees." (Code Civ. Proc. § 2033.420(a).)

		The court shall make this order unless it finds that an objection to the request was sustained or a response to it was waived, the admission was of no substantial importance, *the party failing to make the admission had reasonable ground to believe that that party would prevail on the matter*, or there was other good reason for the failure to admit. (Id. § 2033.420(b); emphasis added.) The party seeking to benefit from the exception, in this case, Defendants, "bears the burden to establish the exception." (*Spahn v. Richards* (2021) 72 Cal.App.5th 208, 216, quoting *Samsky v. State Farm Mutual Automobile Ins. Co.* (2019 37 Cal.App.5th 517, 523.) In evaluating whether a good reason exists for denying a request to admit, such that the party making the denial can avoid imposition of costs of proof, a party's reasonable belief that it would prevail on the issue at trial must be grounded in the evidence; it cannot be based merely on hope or a roll of the dice. Further, it is not enough for a party making the denial to hotly contest the issue. Instead, there must be some reasonable basis for contesting the issue in question before sanctions can be avoided. (*Spahn, supra*72 Cal.App.5th at pp. 216-217.) Plaintiff argues there were no reasonable grounds for Defendants to believe they would prevail on the agent/broker issue because the evidence provided by Defendants to support the denial is implausible, overwhelmingly contradicted, and comes from a sole unreliable source—Leon's own testimony. Defendants contend that they had a reasonable ground to believe they would prevail because there was no written agreement with Alan Dauger, Mr. Dauger paid no fees for the transaction, and Mr. Leon had signed a listing agreement with the seller which stated that Defendants only represented the seller and would only receive a commission from the seller. Defendants argue that Plaintiff's Motion is based on a unilateral, self-serving, circular conclusion that Defendants had no reasonable belief that they would

prevail at trial simply because they did not prevail at trial. In addition, Defendants contend that because the RFAs were served early on in the litigation before extensive discovery and investigation had been conducted, the Motion should be denied.

Plaintiff's Request for Admissions Nos. 1-4 asked Defendants to admit that they were the broker/agent for Plaintiff and Alan Dauger with respect to the purchase of the leasehold interest. In responses served on April 26, 2021, Defendants denied the requests.

After trial, the Court issued its Statement of Decision, finding that Defendants acted as dual agents and represented both the seller and Mr. Dauger/Plaintiff in the transaction. The evidence showed that shortly before the ReNew transaction, Mr. Leon had agreed to act as Mr. Dauger's broker in the purchase of another property, had toured the ReNew property with Mr. Dauger multiple times and answered his numerous inquiries, and referred to Mr. Dauger as a "client" in his calendar entries. Additionally, Mr. Leon sent Mr. Dauger a draft of the first offer to review before submitting it to the sellers, provided Mr. Dauger with numerous pro formas during the course of negotiations, and provided Mr. Dauger with a draft of the PSA and offered to review and discuss it with Mr. Dauger. Even Defendants' own expert conceded on cross-examination that a dual agency relationship may have existed. Finally, the Court found Mr. Dauger's testimony more credible than Mr. Leon's and found that Mr. Leon believed Mr. Dauger to be his client.

However, the Court's finding after receiving all the evidence and considering the arguments of counsel at trial is a different analysis than what is presented by way of the instant motion. Here, the question is whether Defendants had "reasonable ground" to believe that they would prevail on the matter at the time they made their denial. In evaluating the information available to Defendants at the time they made the denial, the Court determines that they have met their burden of establishing their belief that they would prevail on the issue of agency between Joe Leon and Berkadia on the one hand and Alan Dauger

		and Idyllwillow on the other. The discovery available to Defendants at the time do not conclusively prove that a dual agency relationship did not exist. Moreover, Defendants subsequent positions, in particular their retention of an expert on the issue, their cross-examination of Plaintiff's expert, the filing of a motion for summary judgment on the issue of agency, all support the conclusion that Defendants had reasonable ground to believe that they would prevail on the issue. It is a nuanced distinction that the Court draws, but an important one. The Court found Mr. Leon not credible when he testified that he always viewed himself as only Fowler's broker. The Court maintains that finding. However, after the lawsuit was filed, after Mr. Leon and Berkadia retained counsel, and when faced with having to answer these requests for admission, it was not unreasonable for Defendants to deny the requests for admission. With the benefit of the information available to them, the discovery available to them, and the advice of counsel, Defendants had reasonable ground to believe that as a matter of law, Berkadia and Mr. Leon were not in a dual agency relationship and were not Idyllwillow's broker – despite whatever subjective belief Mr. Leon may have had prior to and after the purchase transaction. That the Court at trial ultimately found against Defendants on the issue of agency is not determinative as to this motion. Plaintiff cites to two primary cases in its Motion: *Grace v. Mansourian* (2015) 240 Cal.App.4th 523 and *Spahn v. Richards* (2021) 72 Cal.App.5th 208. In *Grace*, the defendant in a motor vehicle accident denied requests for admission that he ran a red light and was the cause of the accident. At trial, he offered only his own testimony on the issue and stated that the light turned yellow when he got closer to the intersection. The court held that defendant's belief that he had entered the intersection on a yellow light was insufficient to support his denials in the face of substantial contrary evidence, including plaintiff's testimony, the police report, and the accident reconstruction expert. (240 Cal.App.4th at p. 530 ["In light of

		all of this evidence, defendant's belief, however firmly held, was not reasonable."].) In *Spahn*, the plaintiffs sued the defendant pursuant to an alleged oral contract to build a residence with a fixed price. The defendant served requests asking the plaintiffs to admit that there was no oral contract or meeting of the minds, which the plaintiffs denied. (72 Cal.App.5th at p. 212.) The defendant prevailed at trial and was awarded costs of proof. The trial court rejected the plaintiffs' argument that they had reasonable grounds for prevailing they would prevail on the oral contract issues because evidence established that they knew that no binding oral contract had been formed. The evidence showed that plaintiffs had not received a bid from the defendant after they allegedly entered into the oral contract, they were still soliciting and receiving bids from other contractors, and they believed they had to tread lightly until they had a signed contract. (*Id*. at p. 215.) Here, the Court finds the two cases relied upon by Plaintiff to be distinguishable. Defendants' denial was not reliant solely on Mr. Leon's testimony. Defendants introduced numerous documents to advance their theory that Mr. Leon was not Mr. Dauger's broker. In addition, Defendants retained and called an expert to testify on the issue of agency. That the expert under cross-examination by Plaintiff admitted that a dual agency relationship may have existed is not dispositive. Moreover, Defendants' denials of the RFAs do not rise to the level of egregiousness as those in *Spahn*, where the plaintiffs alleged an oral contract with the knowledge that they were still soliciting and receiving bids and that circumstances could change before a signed contract was in place. In light of the above, the Court finds that Defendants' denials were based on Defendants' reasonable belief that they would prevail at trial on the agent/broker issue. Therefore, the Motion is DENIED. *Plaintiff to give notice.* <u>MOTION TO TAX COSTS</u>

		Defendants Berkadia Real Estate Advisors, Inc. and Joe Leon ("Defendants") move to tax costs from the Memorandum of Costs filed by Plaintiff Idyllwillow LP ("Plaintiff"). Defendants contend recovery of $36,503.44 in "Court-ordered transcripts" sought under Item 9 must be stricken because there were no Court-ordered transcripts here and Plaintiff's claim of $51,793.42 under Item 16 for database hosting fees must be stricken as unrecoverable and not reasonably necessary. "An item not specifically allowable as costs under Code of Civil Procedure section 1033.5, subdivision (a), and not specifically prohibited under subdivision (b), may be allowed as costs at the discretion of the trial court if reasonably necessary to the conduct of the litigation. [Citation.]" (*Landwatch San Luis Obispo County v. Cambria Community Services District* (2018) 25 Cal.App.5th 638, 645-646.) As to Item 9, Plaintiff represents that $28,573.96 of the claimed $36,503.44 is for court reporter fees, recoverable under Code of Civil Procedure section 1033.5(a)(11) and Government Code sections 68086(c) and (d)(2) and erroneously included under transcript fees. Read together, those Code sections allow for the recovery of court reporter fees when a party arranges for a certified shorthand reporter to be present and serve as an official pro tempore reporter. That is what occurred here. Thus, the Court finds that $28,573.96 of the costs listed under Item 9 is proper. Plaintiff argues that the remaining costs are recoverable as Court-ordered transcripts because the Court directed the parties to "scour through the evidentiary record" to respond to the Court's tentative thoughts during closing argument. The Court disagrees that this constitutes an order to the parties to obtain the transcripts. Thus, the Motion to Tax as to $5,691.00 under Item 9 is GRANTED. As to Item 16, Plaintiff argues that its database charges are recoverable under the discretionary catchall provision of Section 1033.5(c)(4), in light of the fact that the parties produced over 54,000 pages of

		documents during this four-year litigation. Plaintiff contends that the third-party e-discovery database was necessary to efficiently process, organize, review, and present the documents at deposition and trial. In support of their Motion, Defendants cite *Science Applications Int'l Corp. v. Superior Court* (1995) 39 Cal.App.4th 1095. There, the court held that costs incurred in hiring an outside firm to assist with document control, storage, and accessing documents in discovery and at trial, were not recoverable. (*Id*. at p. 1104.) Here, Plaintiff used its third-party e-discovery database vendor to perform the same kinds of tasks—organizing, review, and presenting documents in discovery and at trial. (Declaration of Steven T. Graham ¶ 6.) The Court agrees that these costs are not recoverable. Thus, the Motion to Tax as to $51,793.42 under Item 16 is also GRANTED. *Defendants to give notice*.
109	Southwest Painting, Inc. vs. Newcastle Enterprises, Ltd 19-01099958	Defendant, Newcastle Enterprises, LTD. ("Newcastle") moves for an order striking and/or taxing Plaintiff, Southwest Painting, Inc.'s ("Southwest") Memorandum of Costs filed on February 13, 2025. Newcastle contends that the Court should strike Southwest's Memorandum of Costs in its entirety because it is unsupported by documentary evidence, although Page 4 of the Memorandum of Costs references invoices. Alternatively, Newcastle contends that Item Nos. 1, 5, 8, 11, 12, 14, and 15 sought in the Memorandum of Costs should be individually stricken or reduced in amount as excessive or not allowed as well as no supported by any invoice or similar documentary evidence. Newcastle contends that the instant motion is timely served and filed. Southwest contends that the attempted filing of this motion in Department C23 fails to meet the requirement of timeliness because Department C23 does not have current jurisdiction over the matter and rejected the filing, thus, that the motion should be rejected on the grounds of untimeliness alone. Southwest also contends that Defendant's reliance on the case *Jones v. Dumrichob* (1998) 63 Cal.App 4th 1258 for the